

DO NOT WRITE ON TEST



Digital Marketing Concepts

~OPEN EVENT~

(594)

STATE 2025

CONCEPT KNOWLEDGE:

Multiple Choice (50 @ 2 points each) _____ (100 points)

Test Time: 60 minutes

Directions: Identify the letter of the choice that *best* completes the statement or answers the question.

1. Economic resources are classified as natural, capital, equipment, and consumers.
 - A. True
 - B. False
2. Understanding and providing solutions for consumer needs is easy if marketers are willing to listen because almost all consumer needs are the same.
 - A. True
 - B. False
3. A target market is a specific group of consumers at which a company aims its products and services.
 - A. True
 - B. False
4. Customer satisfaction is a measure of how products and services meet or exceed customer expectations.
 - A. True
 - B. False
5. Direct marketing involves directly communicating with targeted consumers to obtain a response.
 - A. True
 - B. False
6. You are tasked with understanding the preferences of young adults (aged 18-25) towards electric scooters. Which research method would be most effective?
 - A. Conduct focus groups with college students to discuss their commuting preferences
 - B. Survey all residents in a city about their transportation choices
 - C. Analyze sales data from scooter retailers
 - D. Interview scooter manufacturers about their production processes
7. A company is launching a new line of eco-friendly kitchenware. Which element of the marketing mix should they focus on to communicate the product's environmental benefits?
 - A. Product
 - B. Price
 - C. Place
 - D. Promotion
8. A marketing team wants to understand why families with children prefer certain vacation destinations over others. Which aspect of consumer behavior should they investigate?
 - A. Decision-making processes in purchasing vacation packages
 - B. The economic status of families and their spending habits
 - C. Media consumption habits and social media preferences
 - D. Trends in international travel and tourist destinations

9. A company that manufactures smartwatches has experienced declining sales over the past quarter. What stage of the product life cycle is the smartwatch likely in?
 - A. Introduction stage
 - B. Growth stage
 - C. Maturity stage
 - D. Decline stage
10. A startup is launching a new plant-based protein bar. What strategy should they consider to increase market penetration?
 - A. Conducting taste tests at local gyms and health clubs
 - B. Offering discounts to new customers who purchase in bulk
 - C. Reducing the retail price to compete with established brands
 - D. Partnering with a celebrity fitness trainer for endorsement
11. Which marketing concept focuses on satisfying the needs and wants of the target market better than competitors?
 - A. Customer satisfaction
 - B. Market orientation
 - C. Customer relationship management
 - D. Market segmentation
12. Which of the following is NOT a characteristic of a target market?
 - A. Geographic location
 - B. Demographics
 - C. Psychographics
 - D. Random selection
13. What is the formula for calculating Customer Acquisition Cost (CAC)?
 - A. $CAC = \text{Total Revenue} / \text{Total Customers}$
 - B. $CAC = \text{Marketing Spend} / \text{Number of New Customers Acquired}$
 - C. $CAC = \text{Revenue} / \text{Profit Margin}$
 - D. $CAC = \text{Total Customers} / \text{Marketing Spend}$
14. A company runs a social media marketing campaign and receives 10,000 visits to their website. Out of these, 400 visitors make a purchase. What is the conversion rate for this campaign?
 - A. 2%
 - B. 4%
 - C. 6%
 - D. 8%
15. What is the process of attracting, converting, and retaining customers over time?
 - A. Customer lifecycle
 - B. Customer acquisition
 - C. Customer retention
 - D. Customer segmentation

16. What is the practice of using email to promote products and services and nurture relationships with potential customers?
- A. Email marketing
 - B. Content marketing
 - C. Social media marketing
 - D. Search engine optimization
17. What is the process of advertising on search engines, where advertisers bid on keywords that users of the search engine might enter when looking for certain products or services?
- A. Pay-per-click advertising
 - B. Search engine optimization
 - C. Content marketing
 - D. Social media marketing
18. Which of the following is NOT a common social media marketing objective?
- A. Brand awareness
 - B. Lead generation
 - C. Sales
 - D. Return on investment
19. Marketing research is a multi- _____ dollar industry in the United States.
- A. billion
 - B. million
 - C. trillion
 - D. quadrillion
20. A _____ is a document that describes the nature of the problem marketing research hopes to solve by asking providers to offer proposals.
- A. research contract
 - B. research bid
 - C. research planning document
 - D. request for proposal
21. Which of the following statements is TRUE about the problems that commonly arise with secondary data?
- A. They are frequently unavailable when needed
 - B. They are a massive expensive to the firm
 - C. They do not completely fit the problem
 - D. None of these answers are correct
22. What is the metric used to measure the percentage of users who click on a specific link to visit a site out of the total users who view the page?
- A. Click-through rate
 - B. Conversion rate
 - C. Bounce rate
 - D. Engagement rate

23. Which formula is used to calculate Net Promoter Score (NPS)?
- A. $NPS = (\text{Promoters} / \text{Total Respondents}) * 100$
 - B. $NPS = (\text{Promoters} - \text{Detractors}) / \text{Total Respondents}$
 - C. $NPS = \text{Promoters} - \text{Detractors}$
 - D. $NPS = \text{Promoters} + \text{Detractors}$
24. Which of the following is NOT a common form of online advertising?
- A. Search engine optimization
 - B. Display advertising
 - C. Social media advertising
 - D. Pay-per-click advertising
25. What is the process of testing two versions of a webpage or email to see which one performs better?
- A. A/B testing
 - B. Multivariate testing
 - C. Split testing
 - D. Usability testing
26. Which marketing metric measures the number of times content has been shared on social media platforms?
- A. Social shares
 - B. Engagement rate
 - C. Click-through rate
 - D. Conversion rate
27. What term refers to the place a product occupies in consumers' minds relative to competing products?
- A. Positioning
 - B. Segmentation
 - C. Targeting
 - D. Differentiation
28. Which of the following is NOT a common differentiation strategy?
- A. Price differentiation
 - B. Product differentiation
 - C. Service differentiation
 - D. Market differentiation
29. Which of the following is NOT a component of the traditional marketing mix?
- A. People
 - B. Product
 - C. Price
 - D. Place

30. A company spent \$75,000 on marketing campaigns in a quarter and successfully acquired 500 new customers. What is the Customer Acquisition Cost (CAC) for the company?
- A. \$150
 - B. \$75
 - C. \$300
 - D. \$500
31. What term refers to the group of people who are surveyed or interviewed in a market research study?
- A. Sample
 - B. Population
 - C. Respondents
 - D. Variables
32. What term refers to information that is collected for the first time directly from the original source?
- A. Primary data
 - B. Secondary data
 - C. Qualitative data
 - D. Inferential data
33. Which of the following is NOT a common type of qualitative research method?
- A. Survey
 - B. Focus groups
 - C. In-depth interviews
 - D. Observational research
34. Which of the following is NOT a common measure of central tendency used in statistics?
- A. Mean
 - B. Median
 - C. Mode
 - D. Range
35. What is the term used to describe the spread or dispersion of values in a data set?
- A. Variability
 - B. Central tendency
 - C. Skewness
 - D. Kurtosis
36. What term refers to the process of identifying and removing or correcting errors in data?
- A. Data cleaning
 - B. Data analysis
 - C. Data interpretation
 - D. Data collection

37. Which of the following is NOT a common data visualization technique used in market research?
- A. Histogram
 - B. Scatter plot
 - C. Pie chart
 - D. Frequency polygon
38. Which of the following is NOT a common way to present the results of a research study?
- A. Narrative report
 - B. Statistical tables
 - C. Data visualization
 - D. Raw data
39. Which of the following is NOT a common type of hypothesis in research?
- A. Null hypothesis
 - B. Alternative hypothesis
 - C. Directional hypothesis
 - D. Bidirectional hypothesis
40. Which of the following is NOT a common targeting strategy in marketing?
- A. Undifferentiated
 - B. Concentrated
 - C. Micromarketing
 - D. Diversified
41. What tool helps you determine how well your website ranks for certain keywords and phrases in search engine results pages (SERPs)?
- A. Keyword rank tracker
 - B. Backlink checker
 - C. SEO analyzer
 - D. Competitor analysis
42. What metric measures the percentage of people who engage with a piece of content (like, comment, share) relative to the total number of people who view it?
- A. Engagement rate
 - B. Click-through rate
 - C. Impressions
 - D. Conversion rate
43. Which of the following is NOT a common method for calculating customer lifetime value (CLV)?
- A. Customer churn rate
 - B. Average order value (AOV)
 - C. Customer acquisition cost (CAC)
 - D. Revenue per customer

44. Which of the following is NOT a common element of a well-optimized landing page?
- A. Clear call-to-action (CTA)
 - B. Relevant content
 - C. Slow loading time
 - D. Mobile responsiveness
45. What term refers to the process of improving the user experience and interface design of a website or app to increase user satisfaction and engagement?
- A. User experience (UX) design
 - B. User interface (UI) design
 - C. Website optimization
 - D. Conversion rate optimization
46. Which of the following is NOT a common UX/UI design principle?
- A. Consistency
 - B. Clarity
 - C. Complexity
 - D. Accessibility
47. What is the term used to describe the process of segmenting a market based on consumer attitudes, beliefs, and opinions?
- A. Psychographic segmentation
 - B. Behavioral segmentation
 - C. Demographic segmentation
 - D. Geographic segmentation
48. The term 'bounce rate' refers to _____.
- A. number of people who visit a page
 - B. percentage of visitors who leave after viewing one page
 - C. time spent on a site
 - D. clicks per minute
49. Which of the following is a KPI?
- A. Keyword
 - B. Bounce rate
 - C. Clickbait
 - D. HTML
50. The term 'evergreen content' refers to content that is _____.
- A. seasonal
 - B. always relevant
 - C. time sensitive
 - D. trendy